

They are easy. This may not sound like much of a reason, but the way 401(k)s are set up actually helps people to start saving and to stick with it. Because your contributions to the account are automatically deducted from your paychecks, your saving is done for you, and it is one less thing in your budget to worry about. For people who are forgetful or undisciplined, this automation is a lifesaver.

There are tax incentives. When you contribute to a traditional 401(k), you get certain tax breaks. For example, let's say you have a taxable income of \$100,000 per year, and you contribute \$10,000 per year to your 401(k). You get to subtract that amount from your taxable income. Instead of paying taxes on \$100,000, now you only need to pay taxes on \$90,000. The catch is that you will eventually need to pay taxes on your retirement savings when you withdraw the money in retirement. For many people, though, this isn't a problem; they will be in a lower tax bracket in retirement, so they would rather pay the tax in retirement instead of now.

Your employer may match your contribution. This is free money! Many employers will offer some sort of match to their employees. For example, some may offer a 50% match, meaning for every \$100 you put into your account, they will put in \$50. This is an instant 50% ROI! Some companies will even match 100% of your contributions. The employer match usually only goes up to a certain percentage of your income. For example, it is very common to match 50% of an employee's contributions up until the employee has contributed an amount that equals 6% of their salary. This may seem a bit confusing, but we'll go over it at the end of this chapter with an example.

You get to keep the money, even if you change jobs. If you get a new job, you do not need to start all over again. You